



**Before the
FEDERAL TRADE COMMISSION
Washington, D.C. 20580**

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

Digital Advertising, P114506, Dot Com Disclosures Business Guidance Publication Updates

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The Association of National Advertisers (“ANA”) is pleased to submit these comments in response to the Federal Trade Commission’s (“FTC” or the “Commission”) request for comments on potential updates to its Dot Com Disclosures business guidance publication (the “Guidelines”).¹

The ANA’s mission is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. We serve the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA’s membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually. Our members include companies of all sizes, including small and mid-sized firms, virtually all of which rely on data-driven advertising practices that give consumers access to relevant information, messaging, and advertisements at the right time and in the right place.

The ANA supports the principles embodied in the existing Dot Com Disclosures. We urge the FTC to avoid rushing to a wholesale revision that introduces confusion and inconsistent practices, ultimately leading consumers to overlook disclosures altogether. We recommend the Commission maintain the Guidelines in their present form. The principles embodied in the current Guidelines already provide flexible guidance for new and emerging areas of technology, which should be allowed to continue to evolve and innovate without being subject to reflexive and proscriptive rules that run the risk of stifling them or exacerbating consumer fatigue. In particular, we also caution against use of the term “dark patterns,” which is incendiary and conveys no definitional precision. By contrast, manipulative patterns, which are not isolated to digital interfaces, are more readily identifiable and are regulated by a host of laws, including the Restore Online Shoppers’ Confidence Act and the FTC Act itself.

Additional Guidelines are not productive or necessary at this time, but in the event the FTC determines revisions may be appropriate, the ANA encourages the FTC to consider that such revisions should reflect the current understanding of the average consumer and, consistent with past practice, the comment period should be accompanied by a workshop to facilitate engagement across industry to inform such a decision.

I. The Guidelines Should Continue to Promote Responsible Online Marketing with Flexibility for Innovative Growth

As the leading global trade association promoting responsible advertising, the ANA and our members live by foundational principles reiterated by the Guidelines: advertising must be truthful and not misleading; advertisers must be able to substantiate both express and implied claims; and advertisements cannot be unfair. Since their publication, the Guidelines

¹ FTC, Request for Information, https://www.ftc.gov/system/files/ftc_gov/pdf/Digital%20Advertising%20Business%20Guidance%20Request%20for%20Information.pdf (2022).

have encouraged the growth of the online marketplace while protecting consumers. Their recommended practices have become incorporated widely into the e-commerce and advertising landscape and have come to play a helpful role as consumers navigate online purchases. The FTC appropriately has taken a flexible approach which recognizes that businesses can embrace the concepts set forth in the Guidelines through a variety of means and are free to select technological approaches that support the integrity of their creative design. The ANA recommends that the Commission continue this flexible, adaptable framework.

II. The Guidelines Should Not Include More Prescriptive Elements with Additional Disclosure Recommendations That Would Exacerbate Consumer Fatigue

The FTC requested, among other things, comments on types of disclosures that raise unique issues; guidance that should be clarified, expanded, strengthened, or limited; comments on if the Guidelines adequately address how to make qualifying disclosures in certain circumstances; and views on the adequacy of disclosures when consumers must navigate multiple webpages. As the FTC considers whether any modifications to the Guidelines would benefit the online ecosystem, the ANA urges against amending the Guidelines or issuing more prescriptive guidance with additional disclosure recommendations that would exacerbate consumer fatigue. Issuing guidance that dictates the exact format for disclosures or how and when companies communicate with users, rather than the flexible guidance currently presented, could lead to “notice fatigue” where consumers simply disregard *all* notices and no longer pay attention to important disclosures. The FTC itself has already noted that consumers are inundated with disclosures and long privacy policies.² The ANA agrees. Moreover, to serve both consumers and advertisers, advertising disclosures need to be customized for the organic look of the platform, which will evolve as platforms innovate. Companies continually invest in research to ensure that, even as advertising disclosures change over time, it is always clear to users that an advertisement is being displayed.

An example from California of a problematic strictly mandated user experience is illustrative. California originally required a Do Not Sell button with extensive mandated language that presented an issue of crowding, especially on smaller devices such as mobile phones. Similarly, California law mandated long-form disclosures of categories of information collected by businesses, which proved challenging to accomplish in a short, consumer-friendly manner. Consumers generally do not respond well to long disclosures or cluttered screens. In fact, overly proscriptive guidance and regulations diverge from consumers’ desires for an enjoyable browsing or app experience. Consumers should be able to utilize online tools as they wish, and companies should have the ability to reach consumers in diverse ways, at optimal points, to maximize the consumer experience while remaining transparent and communicating important information.

² FTC Report, Protecting Consumer Privacy in an Era of Rapid Change, <https://www.ftc.gov/sites/default/files/documents/reports/federal-trade-commission-report-protecting-consumer-privacy-era-rapid-change-recommendations/120326privacyreport.pdf> at 61.

III. The Advertising Industry System of Self-Regulation Continues to Play a Part in Helping to Ensure That Advertising Published in Any Medium Provides Consumers with Information Necessary to Make Informed Choices, Including Presenting Clear and Conspicuous Disclosures

The ANA believes that industry self-regulation continues to complement the practices outlined in the Guidelines. The advertising industry system of self-regulation, including BBB National Programs' National Advertising Division ("NAD"), Children's Advertising Review Unit ("CARU"), National Advertising Review Board ("NARB"), and Direct Selling Self-Regulatory Council ("DSSRC"), help assure that advertising published in any medium (including online or mobile) to any audience is truthful and not misleading. This includes, where necessary, clear and conspicuous disclosures of material information. NAD reviews national advertising in all media and its decisions set consistent standards for advertising truth and accuracy. CARU reviews advertising in all media directed to children under the age of 13 and since 1974 has had specific guidelines to prevent deceptive or inappropriate advertising to children, which since 1996 have also included principles for children's online privacy protection. NARB, the appellate unit of the self-regulatory system, provides a layer of independent industry peer review that examines issues appealed from the NAD or CARU level. DSSRC provides impartial monitoring of and enforcement against misleading product claims and income representations made by direct selling companies and their salesforce members across digital platforms.

Each of the self-regulatory units, through their casework, provide guidance to advertisers on what constitutes clear and conspicuous disclosures, including whether the disclosures are sufficiently prominent, understandable to their intended audience, and do not contradict the main claims in the advertisements. The self-regulatory system provides independent oversight to help assure that advertising claims are truthful, accurate, and not misleading. Should an advertiser decline to participate in the self-regulatory process or fail to abide by the terms of a decision, the self-regulatory program may refer the claims at issue to the FTC or other state or federal enforcement agencies for further review. This self-regulatory system works effectively to protect consumers and ensure proper business behavior.

Platforms have also assisted with disclosure and accountability efforts through their own tools that promote transparency and provide meaningful disclosures to consumers. The entire advertising ecosystem—platforms, brands, advertisers, self-regulatory enforcement agencies, and others—works together, where possible, to provide such disclosures and create a meaningful consumer experience.

IV. New and Emerging Areas of Technology, Including Alternative Platforms and Channels, Should Be Given Time to Develop Before Implementing Premature Guidance

Since the last Guidelines were issued, many new forms of technology, platforms, and channels such as the Metaverse, gaming consoles, and IoT devices have come into existence, raising questions regarding advertising in new media. While the existing Guidelines address some specific forms of technology, they also address general principles for compliance. Principles can be followed in any form of technology and, as addressed above, overly

prescriptive guidance can lead to a disappointing and confusing consumer experience. This is especially true for new and emerging media. A rush to issue guidance would run the risk of creating an unworkable framework that fails to address developing practices relevant to the consumer experience. For example, the Metaverse is still in the early days of investment and development. We do not yet know what is technologically possible, and these immersive spaces hold promise for a range of consumer benefits in everything from education, health care, and gaming to commerce, the arts, and entertainment. Given this ongoing developing landscape, any guidance that constrains the consumer experience at this stage is premature. The ANA advises that these technologies should be given time to develop before a decision is made regarding guidelines.

V. “Dark Pattern” Is an Inflammatory and Vague Term, and Manipulative and Deceptive Practices Are Already Regulated by Existing Law

The FTC has raised concerns with what it has said to be the “use of dark pattern techniques in digital advertising” and asked whether such issues ought to be addressed in the Guidelines. As an initial matter, the Request for Information provides no definition of the term “dark pattern” and the FTC has used this term in varying capacities and contexts. No market standard use of the term “dark patterns” exists, and the ANA cautions against using terminology that is incendiary and conveys no definitional precision. Without a clear definition, the term could refer to design characteristics that simply entice a decision which is, of course, the premise of all advertising. Advertising provides clear benefits to society, including aiding consumers with product discovery, price comparison, and access to content, and while advertising is also meant to persuade a consumer into action, that in itself is not a deceptive practice. As Professor Harry Brignull, an expert witness for the FTC’s Dark Patterns Workshop indicated in April 2021, it is both “vague and sloppy” to use the term “dark pattern” as a legal term or standard.³ There is no reason to engage in attempting to define or utilize this term.

By using the term “dark patterns” in this vague and ill-defined manner, the FTC appears to disfavor the concept of negative option marketing generally rather than focusing on deceptive acts and practices. The FTC should approach negative option marketing in a manner that helps marketers avoid deception. If any amendments are made to the Guidelines, the FTC should take a balanced and responsible approach that assists the business community and practitioners by providing guidance on the Commission's interpretation of existing law and does not editorialize.

It appears the FTC is trying to address manipulative patterns, which are in no way limited to digital interfaces. Unfair and deceptive patterns and practices have long been the subject of many rules and enforcement by the FTC and other enforcement entities. The FTC has authority under Section 5 of the FTC Act to enforce against deceptive practices and current FTC guidance already exists in this area (for example, Truth in Advertising, and the Advertising Endorsement Guides).⁴ In addition, the FTC Act, the CAN-SPAM Act, and the Restore Online Shoppers’ Confidence Act (“ROSCA”) already address manipulative and deceptive design practices.

³ See Harry Brignull, FTC Dark Patterns Workshop Transcript at 14-15 (Apr. 29, 2021), available at https://www.ftc.gov/system/files/documents/public_events/1586943/ftc_darkpatterns_workshop_transcript.pdf.

⁴ FTC, Truth In Advertising, <https://www.ftc.gov/news-events/topics/truth-advertising>; 16 CFR Part 255.

Congress went through lengthy processes to develop these laws and address concerns, and sufficient legal authority exists to remedy any issues that arise.

While we agree the FTC should take steps to prevent unscrupulous actors from using deceptive and manipulative practices in the marketplace, we strongly believe that overly prescriptive guidance regulating the form and content of speech would not be in the best interests of consumers or businesses. Guidelines addressing undesirable design tactics (frequently described, albeit using various terms and concepts, as “dark patterns”) should not be so rigid as to limit businesses’ ability to appropriately tailor and present disclosures and choices to their consumers, nor should they require businesses to present information in a way that lessens consumer engagement or hinders business innovation. Further, overreaching in guidance on such undesirable tactics may lead to overly prescriptive regulations that could run counter to First Amendment protections for commercial speech as applied to the states through the Due Process Clause of the Fourteenth Amendment.

Responsible businesses do not endeavor to be deceptive or manipulative in their communications with consumers, because their relationships with customers are founded in consumer trust. Businesses are incentivized to maintain a relationship of trust with customers so consumers continue to come to them for products and services. The ANA urges the FTC to avoid issuing prescriptive guidance on matters already regulated by existing law and too rigidly defining how businesses must communicate with and present choices to consumers. The Guidelines should be maintained in their present form.

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